

Nykaa (FSN E-Commerce Ventures Ltd)

Concall
Tracker

Screener ticker NYKAA | BSE 543384 | Report date 11 Jul 2026 | Based on 17 earnings concalls (Jun 2022 → May 2026)

Two questions this report answers by reading the last ~4 years of earnings calls: (1) Is there a durable **earning trigger** in the business? (2) Has **management been consistent** about it over time?

1. Snapshot — what the business is and how it earns

Nykaa is India's largest online-first beauty and fashion retailer. It sells other companies' beauty, personal-care and fashion products through its website, app and ~313 physical stores (the "multi-brand retail" business); it also builds and sells its **own brands** (House of Nykaa — Dot & Key, Kay Beauty, Nykaa Cosmetics, Nykd); runs a **business-to-business distribution arm** (Superstore, which supplies small shops); and a **fashion marketplace** (Nykaa Fashion). It earns from the margin on products sold, from brands' advertising on its platform, and from its higher-margin owned brands.

Number (FY26 = year to Mar 2026)	Value	Plain-English read
Market value of the company	Rs 94,535 cr	What the whole company is worth on the stock market today (share price Rs 330).
Net revenue (sales), FY26 — consolidated	Rs 10,000 cr+	Total group sales for the year, up 26%. Crossed the Rs 10,000-crore / \$1 billion mark for the first time.
Gross merchandise value (GMV)	~Rs 21,000 cr	The full rupee value of everything sold on the platform (before returns/discounts), up 28%. A "size of the shop-front" number.
Operating profit (EBITDA), FY26	Rs 752 cr	Profit from running the business before interest, tax and wear-and-tear. Up 59% — growing far faster than sales. Margin 7.5%.
Net profit (PAT), FY26	Rs 204 cr	The final bottom-line profit, up 183%. But it is only 2% of sales — still wafer-thin.
Return on capital (ROCE)	21.2%	How much operating profit the business makes on the money invested in it — nearly doubled from 11.3% a year ago. A real improvement.
Price-to-earnings (P/E)	~460x	The stock costs about 460 rupees for every 1 rupee of yearly profit — extremely expensive; the price already assumes many years of fast growth.

Note: Screener's headline tables show only the *standalone* parent (sales ~Rs 357 cr) — nearly all trading sits in subsidiaries, so every figure above is the *consolidated* group number taken from the concalls.

2. Concall coverage — what was read

All **17 available transcripts** on Screener were pulled and read, spanning **Q4 FY22 (May 2022) through Q4 FY26 (May 2026)** — about four full years / 17 quarterly calls. The most recent three years were read in detail. Coverage is complete; no calls were missing.

Span	Calls read	Read?
FY22–FY23 (May 2022 – Feb 2023)	Q4FY22, Q1–Q3 FY23 (4)	Yes
FY24 (May 2023 – Feb 2024)	Q4FY23, Q1–Q3 FY24 (4)	Yes
FY25 (Jun 2024 – Feb 2025)	Q4FY24, Q1–Q3 FY25 (4)	Yes
FY26 (Jun 2025 – May 2026)	Q4FY25, Q1–Q4 FY26 (5)	Yes — incl. latest

★ Latest concall highlights — Q4 FY26 (call held 21 May 2026)

- **Record full year.** FY26 net revenue crossed **Rs 10,000 cr (+26%)** — the first time past \$1 billion. Q4 revenue **Rs 2,648 cr (+28%)**, the fastest growth in many quarters. *Read: sales are not just big, they re-accelerated.*
- **Profit exploded off a small base.** FY26 operating profit (EBITDA) **Rs 752 cr (+59%)**, net profit **Rs 204 cr (+183%)**; Q4 net profit **Rs 79 cr (+313%)**. *Read: profit is growing three-to-four times faster than sales — the margin-expansion story is finally showing up in cash.*
- **Fashion turned profitable for the first time.** The loss-making fashion arm posted a positive **+0.3% EBITDA in Q4 FY26** (full-year loss cut from -8.3% to -2.6%). *Read: the biggest drag on group profit has stopped bleeding.*
- **Owned brands are the star.** House of Nykaa hit **Rs 3,176 cr GMV (~+50%)**; Dot & Key alone **Rs 1,790 cr** (13x in three years). These carry higher margins. *Read: a genuinely valuable second business is being built inside Nykaa.*
- **Tone: confident but macro-cautious.** Founder Falguni Nayar flagged high oil prices, a weak rupee and inflation as risks for FY27, but said April–May stayed strong and AI is helping both sales and costs. *Read: management is upbeat on execution, honest about outside risks, and gives no hard numeric guidance.*

Domestic vs exports. Almost entirely India. Exports are tiny — only a Gulf joint-venture (Nysaa) and Kay Beauty in the UK via Space NK, described as "a little bit of exports." *Read: essentially a 100%-India business; overseas is experimental.*

Asset-light, not a factory. No plants, so no plant-utilisation figure — capital spending is just **~1% of revenue**. Store network is **313 stores across 99 cities**, targeting ~500 stores in 3–4 years (~50–60 a year, on track). *Read: it grows sales without heavy fixed investment, which is why returns are rising.*

3. Earning-trigger thesis — the headline

The durable trigger is the profit inflection: steady mid-20s% revenue growth is now converting into far faster profit growth as heavy investment tapers and higher-margin engines scale. For years (FY22–FY24) Nykaa deliberately poured money into new customers, warehouses and new verticals, so profit stayed tiny even as sales grew. That spending has now normalised, and three higher-margin engines — **owned brands (House of Nykaa)**, a **fashion arm that just turned profitable**, and a **scaling B2B distribution business** — are lifting the whole group's margin. Result: FY26 EBITDA +59% and net profit +183% on revenue up just 26%, with return on capital jumping from 11% to 21%. The trigger is concrete and visibly playing out.

Trigger	What management said	Evidence so far	Horizon	Strength
Operating leverage / margin expansion	Investment phase ending; efficiency in marketing & delivery will let profit grow faster than sales	EBITDA margin 4.3% (FY22) → 5.4% (FY24) → 7.5% (FY26) ; PAT +183% in FY26	Playing out now	Strong
Owned brands (House of Nykaa)	Higher-margin, faster-growing brands built in-house (Dot & Key, Kay Beauty)	GMV Rs 3,176 cr (~+50%); Dot & Key Rs 1,790 cr, 13x in 3 yrs	Live, multi-year	Strong
Fashion turning profitable	Fix unit economics; reach breakeven	EBITDA loss cut from -8.3% to -2.6% FY26; Q4 FY26 first positive quarter (+0.3%)	Just achieved	Moderate
B2B Superstore	Scale to 3–5% EBITDA; reach 0.5M+ small retailers	~Rs 1,200 cr GMV, 0.5M retailers/1,300 cities, margin +500 bps	2–3 yrs to full profit	Moderate
Core beauty growth & premiumisation	Keep adding customers; trade them up to premium/K-beauty	Beauty GMV ~Rs 15,000 cr (+27%), EBITDA 9.6%; 19.7M yearly buyers	Ongoing	Strong

4. Management consistency scorecard — promised vs delivered

Period	What was promised	What actually happened	Verdict
FY22–FY23	Diversify beyond beauty (Fashion, B2B, owned brands) funded by beauty's profits; margins to expand once investment ends	All verticals launched and scaled; but PAT actually <i>fell</i> (Rs 41 cr → Rs 21 cr) as spending ran high	Partly
FY23 (Q4)	"Investment is at its last leg" — warehouse capex done, margins to rise	Broadly held: EBITDA margin then climbed 5.0% → 7.5% over the next three years	Delivered
FY24	Fashion losses to shrink; owned brands to scale	Fashion contribution margin rose every quarter; owned brands grew fast — both on track	Delivered
FY25	Fashion "well on its path"; keep mid-20s growth	Fashion stumbled (GMV +8–10%); management openly admitted "some things we didn't do as well." Beauty stayed strong	Partly
FY26	Fashion to reach breakeven; margins highest since IPO	Fashion turned positive in Q4; EBITDA and PAT margins hit record highs	Delivered
Across period	(Investor ask) A hard numeric margin target	Consistently <i>refused</i> to commit to specific margin numbers; guides only on a 3–5-year view	Dropped

Narrative drift: The core story — beauty's cash funding diversification, with efficiency turning sales growth into faster profit growth — has stayed **remarkably steady for four years**, and management largely **delivered the big promise** (the profitability inflection is real and visible). Honest caveats: (1) they quietly switched the headline metric from GMV to net-sales-value just as discounting widened the gap between the two; (2) they walked medium-term beauty growth down from "30%+" to "~25%"; (3) fashion was a real miss in FY25 before recovering — and part of the FY26 fashion bounce rode a broader market recovery management itself acknowledged, not purely self-help; (4) they never give hard guidance and were defensive when early margins undershot IPO-era hopes. Net: a consistent, credible team that delivered the main thing, with some optics-management around the edges.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: heavy investment has tapered and higher-margin engines (owned brands, a now-profitable fashion arm, B2B distribution) are converting steady mid-20s% sales growth into far faster profit growth. The evidence is on the page — FY26 EBITDA +59%, net profit +183%, return on capital 11% → 21%. This is a real inflection, not a promise. **Caveat for a buyer (not the trigger):** net margin is still only 2% and the stock trades near 460x earnings, so the business trigger is genuine but the price already banks years of it.

Management consistent? → YES

The founder-led team has told the same diversification-plus-operating-leverage story for four years and has now **delivered its central promise** — the margin and profit inflection they kept pointing to has arrived, and fashion reached the breakeven they long guided toward. Not spotless: a metric switch (GMV → net-sales-value), a walked-down growth expectation, a genuine fashion miss in FY25, and a persistent refusal to give hard numeric guidance. But promises have broadly matched delivery, so this is a "Yes" with eyes open rather than a clean sweep.

Sources: 17 Nykaa / FSN E-Commerce Ventures earnings-call transcripts (Screener.in, Q4 FY22 → Q4 FY26) and Screener financial snapshot. Consolidated figures quoted from management commentary. This is not investment advice — do your own due diligence.